

THE FIRSTS FUND

THE FIRSTS GROWTH FUND · FUND FACT SHEET · PESO-DENOMINATED GLOBAL CAPACITY FUND

Hypothetical fund proposal · FinQuest 2026 · Data as of 2 October 2026 · Page 1 of 2

*"There will always be
a new first."*

INVESTMENT OBJECTIVE AND THE NEED IT ADDRESSES

Theme: global real capacity. The power, water, grids, ports, airports, fibre and data centres that the cost of a young Filipino's firsts runs on, and the equipment makers that build them. A global theme rather than a bet on one country, and deliberately not a technology fund.

Objective. Long-term capital growth from fifteen companies, held directly, that own or supply long-lived physical and network capacity. One pooled fund with a single share price, making no promise about any individual investor's goal date.

The need. A Filipino aged 18 to 25 has a peso salary and peso goals, both tied to one economy. BPI's own Philippine Equity Index Fund returned **0.52% a year** after fees, and the closest global product on the shelf buys other funds, charges a second fee layer and finished **4.19 points a year behind** the index it targets. What is missing is a **peso-priced global growth fund, holding shares directly, that someone with P100 can buy.**

No country quota. An earlier draft fixed 30% in the Philippines. We removed it: nothing required it, and our own thesis argues against concentrating in one economy. The only country rule left is that no country may exceed a third of the fund. The risk model chose **30.82% in Philippine companies on its own**, because PSE-listed infrastructure moved differently from the rest of the portfolio.

Why the risk level is what it is. A young investor puts money in every month. We shuffled the Fund's 60 monthly returns 20,000 times, which changes the path but never the total. A weak first half made the monthly contributor **richer** and the person drawing down **poorer** (correlations of -0.85 and $+0.85$), because someone paying in buys more units while prices are low. In all 20,000 orderings, P1,000 a month in the Fund beat the same money in a 4.5% money market fund (P67,238).

How a dated goal gets funded. The Fund is half the journey. The other half is an **account-level glidepath**: from 24 months out, monthly transfers move the balance into a money market fund, leaving 15% here on the date. We put the worst 12 months in 36 years (Mar 2008 to Feb 2009, -29.4%) into the final year of every shuffled path. The glidepath won in 100% of them and lifted the worst outcome from P43,327 to P61,432. In normal markets it costs about P8,305 at the median. Goals under five years are declined at sign-up, with a reason.

KEY FACTS

Theme	Global real capacity
Fund structure	Single pooled fund, unitized
Classification	Aggressive
Minimum initial	P100
Contribution rails	Payday · Sukli · top-up
Minimum recurring	P100 / month
Recommended horizon	5 years and above
Currency	Philippine peso
Holdings	15 direct securities
Management fee	1.50% p.a.
Liquid reserve	10% (Rule 6.10)
Single-issuer cap	10% (Rule 6)
Country cap	One third (33.3%)
Weighting method	Equal risk contribution
Benchmark	MSCI ACWI, in PHP
Valuation	Daily, NAVPS

How holdings are sized. Each holding is set to add the same share of portfolio risk, judged by how the fifteen moved together over the previous three years. Nothing is sized on opinion. Today each contributes between 5.8% and 6.9% of total risk against a 6.7% target. The two below target are held back by a rule: Iberdrola by the 10% issuer cap, Manila Water by its liquidity cap.

PERFORMANCE · SIMULATED, AFTER THE 1.50% FEE · 1 OCT 2021 TO 2 OCT 2026 · WEIGHTS USE ONLY DATA AVAILABLE AT EACH QUARTER

10.58% Volatility p.a. vs 14.79% index	0.39 Beta to MSCI ACWI	-13.16% Maximum drawdown P658 on P5,000	1.20 Sharpe ratio vs 0.76 index	17.72% Return p.a., net vs 16.21% index
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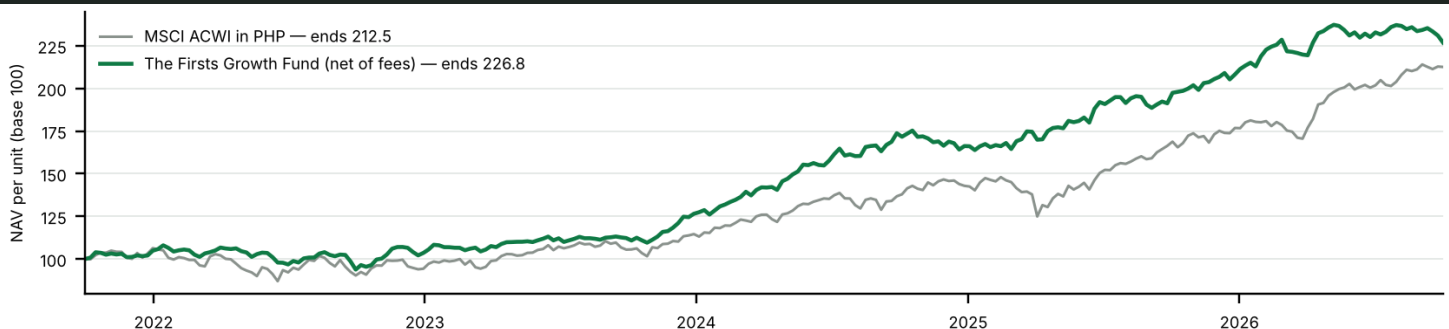
Risk comes before return on purpose: the return figure is the least reliable number on this page. Over 36 years the same method fell 48% and moved 0.88 as much as the market; see the long-history panel below.

Period	Fund	MSCI ACWI (PHP)	Risk statistic	Fund	Index
2021 (from 1 Oct)	+4.85%	+6.34%	Volatility p.a.	10.58%	14.79%
2022	-1.25%	-11.35%	Downside deviation	6.74%	9.57%
2023	+22.17%	+21.54%	Sharpe ratio	1.20	0.76
2024	+31.38%	+24.70%	Sortino ratio	1.89	1.17
2025	+25.26%	+23.73%	Maximum drawdown	-13.16%	-18.20%
2026 (to 2 Oct)	+8.97%	+20.24%	Worst rolling 12 months	-8.20%	-11.35%
Last 12 months	+14.91%	+25.96%	Best rolling 12 months	+57.99%	+46.09%
3 years p.a.	+26.97%	+26.26%	12-month periods positive	96%	87%
Since 1 Oct 2021 p.a.	+17.72%	+16.21%	Beta / correlation	0.39 / 0.54	1.00 / 1.00
			Excess return over index, geometric	+1.30%	—

The Fund trailed the index by 11.05 points over the last twelve months and in both partial years shown, and led in all four full years, 2022 to 2025. A portfolio that moves less than the market lags a rising one; the same property gave the shallower fall in 2022.

Risk-free rate: BSP policy rate, averaging 4.99% a year over the period. **In pesos, for someone paying P1,000 a month:** the 13.16% worst fall on a P5,000 balance is P658, about three weeks of contributions; the worst twelve months, 8.20%, is P410.

GROWTH OF ONE UNIT · SIMULATED, STARTING AT 100 ON 1 OCTOBER 2021



THE SAME METHOD OVER 36 YEARS · US INDUSTRY PROXIES, SAME RULES AND FEE · JAN 1990 TO AUG 2026

1990–2026, in PHP	This method	Market fund
Return a year	11.2%	11.7%
Largest fall	-48.1% (2007–09)	-43.9%
Months to recover	72	72
Beta to US market	0.88	0.92
Dot-com fall, 2000–02	-26.2%	-37.2%

The five years above were calm for this Fund. Rebuilt from industry returns with the same rules, reserve and fee, the method matched a market fund with the same costs over 36 years and fell almost as far in 2008. Its edge was the dot-com crash. **Plan for a fall of up to half.** In the 1997–98 crisis, when the peso went from P26.4 to P39.1 per dollar, the same global holdings gained 87% in pesos: the reason the Fund is left unhedged. Proxies are US-listed industries, so they move together more than fifteen companies in eight countries would.

IMPORTANT. All figures are simulated and prepared with hindsight; simulated performance does not represent actual trading and cannot account for real dealing costs, taxes, liquidity or a manager's decisions under live conditions. Past simulated performance is not a guarantee of future results. The value of an investment can fall as well as rise, and an investor may get back less than the amount invested. Not an offer, solicitation or investment advice, and not a BPI Wealth product; no fund described here exists.

THE FIRSTS FUND

PORTFOLIO, PROCESS AND DISCLOSURES

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“There will always be
a new first.”

HOLDINGS · WEIGHT, SHARE OF RISK AND WHY							ALLOCATION	
Holding	Role	Mkt	First served	Weight	% of risk	Why this weight	Geographic, by listing	
Iberdrola	Owner	ES	Housing	10.00%	5.95%	16% vol, corr 0.12; at 10% issuer cap	Philippines	30.82%
							India	15.88%
Westports	Owner	MY	Transport	9.42%	6.87%	22% vol, corr 0.06	Spain	10.00%
PLDT	Owner	PH	Education	7.97%	6.85%	20% vol, corr 0.13	France	9.86%
Meralco	Owner	PH	Housing	6.75%	6.86%	24% vol, corr 0.13	Malaysia	9.42%
Power Grid Corp of India	Owner	IN	Housing	6.00%	6.82%	25% vol, corr 0.16	Taiwan	5.44%
Manila Water	Owner	PH	Housing	5.97%	5.78%	27% vol, corr 0.09; at liquidity cap	Germany	4.39%
							Japan	4.19%
Vinci	Owner	FR	Travel	5.91%	6.86%	22% vol, corr 0.20	Liquid reserve	10.00%
ICTSI	Owner	PH	Transport	5.90%	6.76%	30% vol, corr 0.10	Sector · GICS	
TSMC	Supplier	TW	Education	5.44%	6.75%	27% vol, corr 0.15	Industrials	38.59%
NTPC	Owner	IN	Housing	5.06%	6.79%	24% vol, corr 0.21	Utilities	33.78%
Adani Ports & SEZ	Owner	IN	Transport	4.82%	6.76%	31% vol, corr 0.16	Comm. Services	12.20%
Siemens	Supplier	DE	Housing	4.39%	6.75%	29% vol, corr 0.20	Info. Technology	5.44%
Converge ICT	Owner	PH	Education	4.23%	6.77%	42% vol, corr 0.10	Liquid reserve	10.00%
Hitachi	Supplier	JP	Housing	4.19%	6.72%	36% vol, corr 0.15		
Schneider Electric	Supplier	FR	Housing	3.96%	6.73%	29% vol, corr 0.24		
Fifteen holdings				90.00%	100.00%	Liquid reserve 10.00%		

Reading the table. Weight comes from the risk model, not from conviction. A holding that swings less, or moves less with the others, gets more money. Iberdrola swings 16% a year and barely tracks the rest, so it reached the 10% cap; Converge swings 42%, so it gets 4.2%. Every holding ends up adding about the same share of risk.

THE RULES THE PORTFOLIO MUST OBEY · ALL MET AT ONCE		
Limit	Rule	Actual (largest)
Owners	≥ 45%	72.03%
Suppliers	≤ 25%	17.97%
Platforms	≤ 20%	0.00%
Liquid reserve	10%	10.00%
Single issuer	≤ 10%	10.00% Iberdrola
Single group	≤ 15%	14.72% First Pacific
Single country	≤ 33.3%	30.82% Philippines
Liquidity	5 days at 20% of volume	5.97% Manila Water

Two holdings sit at a limit: Iberdrola at the issuer cap and Manila Water at its liquidity cap, which assumes a ₱1 billion launch size. Every other weight came out of the risk model. Groups are counted by controlling shareholder: Meralco and PLDT (First Pacific), ICTSI and Manila Water (Razon), NTPC and Power Grid (Government of India).

Where the fund is still concentrated. The fifteen behave like about 5.2 independent bets. Two shared forces carry 78.8% of the risk: a global power-equipment and chip-building cycle (Hitachi, Schneider, Siemens, TSMC) and the Philippine market. This is the largest risk we have not removed.

HOW THIS FUND COMPARES			
Fund	Structure	Min.	5-yr p.a.
BPI Global Equity Fund-of-Funds	Buys 11 funds; 1.50% plus their fees	₱1,000	7.15%
BPI Philippine Equity Index Fund	Passive, 32 PSEi names, 1.50%	₱1,000	0.52%
Pag-IBIG MP2	Government savings, tax-free	₱500	7.1%
The Firsts Fund	15 direct holdings, 1.50% single layer, no country quota	₱100	17.72% simulated

Compare the structures, not the returns: ours is simulated and theirs are live. What holds without our return: the closest product targets the same world index, finished 4.19 points a year behind it, and charges a second fee layer. Where MP2 beats us, we say so: for a goal three to five years away it is the better product, and our sign-up screen sends people there.

CLIENT SUITABILITY

For an investor with a goal five or more years away who can contribute regularly and keep going through a fall of up to half, as in 2008. Not for money needed within five years, an emergency fund, or someone who would stop after a bad year. For all three a money market fund is right, and our sign-up screen sends them there.

THE TEAM

Prince Angelo C. Rivera · Luis Tengonciang · Karol Josef Fuñe · Eric Fabian Thirdy Mendez. Team Los Angeles 76ers. All four study BS Applied Mathematics with a Master in Data Science at Ateneo de Manila University, and built the screens, weighting engine, constraint stack, shuffle test and simulations in Python.

IMPORTANT. All figures are simulated and prepared with hindsight. Not an offer or investment advice and not a BPI Wealth product. Full risk disclosures appear on page 1. References to Investment Company Act rules 6 and 6.10 are the authors' reading, unreviewed by counsel or any regulator. Debt and price tests use S&P Global Market Intelligence data via stockanalysis.com as of 7 October 2026; capacity targets are cited in the holdings annex. Prices: PSE Edge (PSE names, with cash dividends) and Yahoo Finance (total return), converted to pesos weekly. Reserve yield: BIS policy-rate series for the BSP. Long history: Kenneth French Data Library and BIS exchange rates. Benchmark: iShares MSCI ACWI ETF in pesos. Comparison funds: BPI and Pag-IBIG disclosure statements. GICS sectors assigned by the team.

HOW WE PICKED THE FIFTEEN · THREE STEPS, IN ORDER	
M	Map the milestone. Each of five firsts maps to the capacity its cost depends on: housing to power, water and grid; transport to ports and roads; education to fibre, data centres and chips; travel to airports; a first business to all of these. The map produced 37 listed candidates.
V	Verify the investment. Four pass/fail tests, no scores. Theme: a published capacity target with a number and a date, cited for every holding. Debt: net debt at most 4.0× EBITDA (6.0× for GICS Utilities) and interest covered at least 2.5×. Price: EBITDA at least 4.5% of enterprise value (EV/EBITDA ≤ 22.2×), the yield of the money market fund our sign-up screen offers instead. Liquidity: a full position must be sellable in five days at 20% of daily volume. 15 of 37 passed. Out: IHH and Apollo (serve no first), Century Pacific and DBS (no capacity role), Sea, Indus Towers and Airtel (no dated target), Sembcorp, ACEN, Aboitiz Power and Globe (debt), Vertiv and Grab (price). Full list of 37 in the holdings annex.
P	Position the risk. Only after V. Equal risk contribution on the previous three years of weekly peso returns, re-solved every quarter with only the data available then, inside the rules on the left.
How to read the simulation. We chose the fifteen in October 2026 and applied the rules to their past prices, so it tests the method, not our stock-picking in 2021. The earlier draft's look-ahead in the weights is gone and PSE dividends are now included. Hindsight in the selection and survivorship remain, and both flatter the result.	
THE MAIN RISKS, AND WHAT WE DO ABOUT EACH	
Risk	How it is managed, and what remains
Market and equity	90% equities, Aggressive. 10% reserve; sizing keeps each holding near a 6.7% share of risk. Reduced, not removed: the same method fell 48% in 2008–09.
Concentration and factor	Issuer ≤ 10%, group ≤ 15%, country ≤ 33.3%, role limits. Two shared forces still carry 78.8% of risk, so a slowdown in power-equipment spending or a Philippine sell-off hits several holdings together.
Currency, country and liquidity	About 59% non-peso, unhedged on purpose: salary and goals are already in pesos. Eight listing countries. Every position passes the five-day liquidity test.
Sequence risk near the goal date	Account glidepath from 24 months out. With a 2008-size crash in the final year, worst outcome ₱43,327 → ₱61,432; typical cost ₱8,305.